

SiyaBusa ERP

AltX Listing Action Plan

From Pty Ltd to Publicly Listed Company

Masaphokati Technologies (Pty) Ltd

Document Version: 1.0

Effective Date: January 2026

Target Listing: Q2 2028

Classification: Confidential - Strategic

WE RULE. WE GOVERN. WE EMPOWER.

Current Status Assessment

WHERE WE ARE TODAY

Masaphokati Technologies is currently registered as a **Private Company (Pty) Ltd**. This document outlines the exact steps to transform into an AltX-listed public company, providing market exposure and credibility while building toward a JSE Main Board listing.

Attribute	Current State	Required for AltX	Gap
Company Type	Pty Ltd (Private)	Ltd (Public)	Conversion Required
Share Capital	TBD	R2 million minimum	Verify & increase if needed
Audited Financials	TBD	Latest year audited	Appoint auditors
Public Shareholders	0 (Private)	Minimum 100	Must acquire
Public Float	0%	Minimum 10%	Must create
Designated Adviser	None	Mandatory	Must appoint
Board of Directors	TBD	Min 4 (exec + non-exec)	Expand board

Why AltX First?

Strategic Advantages

Factor	AltX	JSE Main Board
Minimum Share Capital	R2 million	R50 million
Profit Track Record	Not required	3 years audited profit
Public Shareholders	100 minimum	300 minimum
Public Float	10%	20%
Listing Timeline	6-12 months	12-18 months
Listing Costs	R3-8 million	R15-45 million
Designated Adviser	Required (support)	Sponsor (less support)

✓ AltX Benefits for Masaphokati

- **Immediate credibility** - "JSE Listed Company" status
- **Access to capital** - Raise funds from public markets
- **Currency for acquisitions** - Use shares for M&A
- **Employee incentives** - Listed share options
- **Media & visibility** - Analyst coverage, SENS announcements
- **Governance discipline** - Build systems for Main Board move
- **Stepping stone** - Graduate to Main Board by 2030

Immediate Actions (This Week)

ACTION REQUIRED: January 2026

These tasks must be initiated immediately to stay on track for a Q2 2028 listing.

Action 1: Verify Company Registration

Task	How	Cost	Timeline
Download company documents from CIPC	www.cipc.co.za	~R50	Today
Verify registration number	Check CM1/CM2	Free	Today
Check current directors	CIPC records	Free	Today
Verify MOI (Memorandum of Incorporation)	Review document	Free	Today

Action 2: Appoint External Auditors

You MUST have audited financials. Appoint auditors NOW even if your first audit is for a partial year.

Auditor Type	Firms	Annual Cost Estimate
Big 4 (Premium)	PwC, Deloitte, EY, KPMG	R300,000 - R800,000
Mid-Tier (Recommended)	BDO, Grant Thornton, Mazars, Moore	R150,000 - R400,000
Smaller Firms	Various registered auditors	R80,000 - R200,000

This Week's Call: Contact 3 audit firms for quotes

- BDO South Africa: +27 11 488 1700
- Grant Thornton: +27 11 322 4500
- Mazars: +27 11 547 4000

Action 3: Open Separate Bank Account

If not already done, ensure company has its own dedicated business bank account.

Action 4: Start Financial Record-Keeping

- ☐ Implement accounting software (Xero, QuickBooks, or SiyaBusa ERP!)
- ☐ Capture all transactions from company inception
- ☐ Separate personal and business expenses completely
- ☐ Keep all invoices, receipts, contracts

Converting from Pty Ltd to Ltd

CRITICAL STEP

You cannot list a Pty Ltd on the JSE. You must convert to a public company (Ltd) or incorporate a new public company. The conversion route is typically simpler.

Option A: Convert Existing Pty Ltd to Ltd (Recommended)

Requirements for Conversion

Requirement	Details
Special Resolution	75% shareholder approval to convert
New MOI	Adopt MOI compliant with public company requirements
Name Change	Remove "(Pty)" - become "Masaphokati Technologies Ltd"
CIPC Filing	Form CoR15.2 (Conversion of Company)
Minimum Directors	Must have at least 3 directors
Company Secretary	Must appoint qualified company secretary
Audit Committee	Must establish (minimum 3 members)

Conversion Process Steps

1. **Board Resolution** - Directors resolve to propose conversion
2. **Shareholder Notice** - Give shareholders notice of special resolution
3. **Special Resolution** - Shareholders approve conversion (75%+)
4. **Adopt New MOI** - Draft and adopt public company MOI
5. **Appoint Company Secretary** - Mandatory for public companies
6. **File with CIPC** - Submit CoR15.2 and new MOI
7. **Receive New Registration** - CIPC issues amended certificate

Estimated Costs

Item	Cost
Legal fees (MOI drafting)	R30,000 - R80,000
CIPC filing fees	~R500
Company secretary setup	R10,000 - R30,000
Total Conversion	R40,000 - R110,000

Timeline: 2-3 months

Option B: Incorporate New Public Company

Alternative: Create new "Masaphokati Technologies Ltd" and transfer assets/shares. More complex, involves tax implications. Consult with tax advisor if considering this route.

AltX Listing Requirements (Detailed)

Mandatory Requirements

Requirement	Specification	Your Action
Share Capital	Minimum R2,000,000	Ensure issued share capital meets minimum
Profit History	Not required (growth focus)	No action - but audited financials needed
Audited Financials	Latest financial year	Appoint auditors, complete audit
Shareholders	Minimum 100 public shareholders	IPO or private placement
Public Float	Minimum 10% of issued shares	Allocate shares in IPO
Designated Adviser	JSE-approved DA required	Appoint from approved list
Directors	Min 4 (including 2 exec, 2 non-exec)	Expand board
Financial Director	Suitably qualified FD/CFO	Appoint experienced FD
Company Secretary	Qualified and experienced	Appoint or outsource
Registered Office	South African address	Confirm registered address

The Designated Adviser (DA) Role

Critical: Appoint DA Early

The Designated Adviser is your guide through the listing process. They:

- Assess your listing readiness
- Guide documentation preparation
- Liaise with JSE on your behalf
- Ensure ongoing compliance post-listing
- Provide corporate advice

JSE-Approved Designated Advisers (Selection)

Firm	Contact	Notes
PSG Capital	+27 21 887 9602	Large, experienced
Merchantec Capital	+27 11 325 6363	SME focused
Grindrod Bank	+27 31 333 6600	Full service
Questco	+27 11 011 9200	Specialist DA
Arbor Capital	+27 11 480 8500	Advisory focused
Exchange Sponsors	+27 11 880 2113	Boutique

DA Fees: R500,000 - R2,000,000 (listing) + R200,000 - R500,000 annually (retained)

Board & Governance Structure

Required Board Composition for AltX

Role	Type	Requirement	Candidate Profile
CEO	Executive	Mandatory	Founder/Current MD
CFO/FD	Executive	Mandatory	CA(SA) or equivalent, listed co experience preferred
Chairman	Non-Executive	Mandatory	Industry experience, governance knowledge
Director	Independent Non-Exec	Recommended	Independent, no business ties

Required Committees

1. Audit Committee (Mandatory for Public Companies)

- Minimum 3 members
- All must be non-executive directors
- Majority must be independent
- Chairman must be independent (not board chairman)
- At least 1 member must have financial expertise

2. Social & Ethics Committee (Mandatory - Companies Act)

- Minimum 3 members
- At least 1 must be a director
- Monitors: ethics, B-BBEE, environment, labour, corruption

Where to Find Directors

Source	How
Institute of Directors SA (IoDSA)	Director database, www.iodsa.co.za
Your Network	Industry contacts, advisors, investors
Executive Search Firms	Jack Hammer, Landelahni, Signium
Professional Bodies	SAICA, Law societies
Your DA	Often have director networks

Director Remuneration (AltX benchmarks)

Role	Annual Fee Range
Non-Executive Chairman	R150,000 - R400,000
Non-Executive Director	R80,000 - R200,000
Committee Chairman (additional)	R30,000 - R80,000
Committee Member (additional)	R20,000 - R50,000

Capital Raising & Creating Public Float

The Challenge

You need **100 public shareholders** holding at least **10% of shares**. As a Pty Ltd with no public shares, you must create this through a capital raise.

Options to Create Public Float

Option 1: Initial Public Offering (IPO)

Aspect	Details
What	Offer shares to public through JSE listing process
Minimum raise	Typically R10-50 million for AltX
Process	Prospectus, roadshow, book-build, allocation
Timeline	4-6 months from documentation start
Cost	5-10% of capital raised

Option 2: Private Placement + Listing

Aspect	Details
What	Place shares privately with 100+ investors, then list
Investors	High-net-worth individuals, family offices, small funds
Minimum per investor	No minimum, but typically R10,000+
Advantage	More control over shareholder base
Disadvantage	More work to find 100 investors

Option 3: Combination Approach (Recommended)

1. **Pre-IPO Round:** Raise R5-10 million from 20-30 strategic investors
2. **IPO:** Offer remaining shares to reach 100+ shareholders

3. **Total:** R15-30 million raised, diversified shareholder base

Suggested Capital Structure

Shareholder Category	% of Shares	Number of Shares*
Founders/Management	60%	60,000,000
Pre-IPO Investors	15%	15,000,000
IPO Public Shareholders	15%	15,000,000
Employee Share Scheme	10%	10,000,000
Total	100%	100,000,000

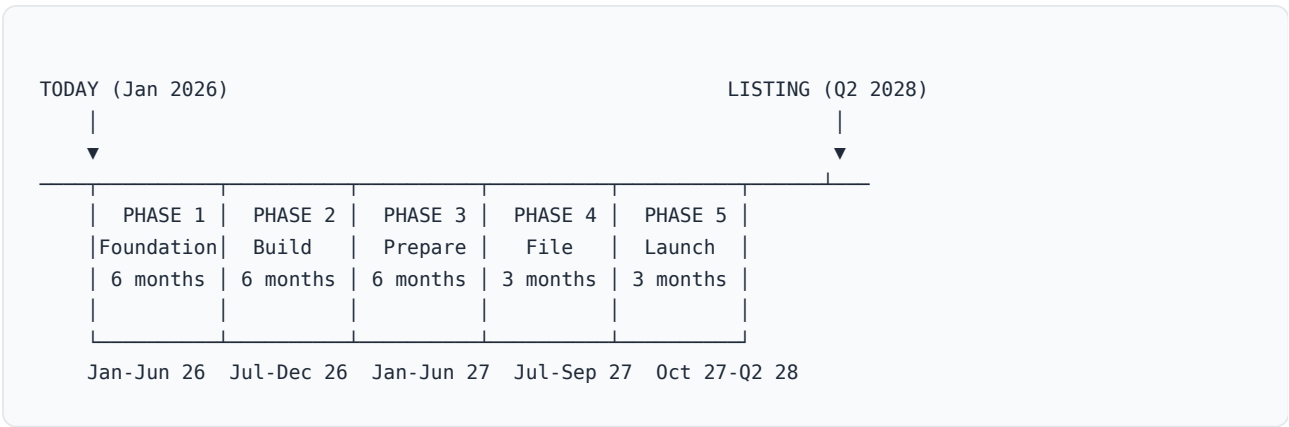
**Assuming 100 million shares at R1 par value = R100m market cap at listing*

Valuation Considerations

AltX tech companies typically list at:

- **Revenue multiple:** 2-5x annual revenue
- **Pre-revenue:** Based on comparable transactions, IP value
- **Your DA** will help determine appropriate valuation

24-Month Roadmap to AltX Listing



(January - June 2026)

- ☐ Verify company registration and documents
- ☐ Appoint external auditors
- ☐ Implement proper accounting systems
- ☐ Research and shortlist Designated Advisers
- ☐ Begin informal DA discussions
- ☐ Identify potential board members
- ☐ Start documenting business processes
- ☐ Prepare management accounts monthly
- ☐ First year-end (if Feb/March)
- ☐ Commence first audit

Budget: R200,000 - R400,000

(July - December 2026)

- ☐ Complete first audit
- ☐ Formally appoint Designated Adviser
- ☐ DA conducts listing readiness assessment
- ☐ Identify gaps and remediation plan

- ☐ Begin conversion from Pty Ltd to Ltd
- ☐ Draft new public company MOI
- ☐ Appoint first non-executive director
- ☐ Appoint or outsource company secretary
- ☐ Implement governance framework
- ☐ Start investor materials preparation

Budget: R500,000 - R1,000,000

(January - June 2027)

- ☐ Complete Pty Ltd to Ltd conversion
- ☐ Full board in place (4+ directors)
- ☐ Audit committee operational
- ☐ Social & ethics committee operational
- ☐ Second audit underway
- ☐ Engage legal counsel for listing
- ☐ Begin pre-listing statement drafting
- ☐ Identify lead broker/corporate advisor
- ☐ Pre-IPO investor discussions
- ☐ Valuation work

Budget: R1,000,000 - R2,000,000

(July - September 2027)

- ☐ Complete pre-listing statement
- ☐ DA review and sign-off
- ☐ Legal review complete
- ☐ Submit application to JSE
- ☐ Respond to JSE queries
- ☐ Finalize prospectus/PLS
- ☐ Pre-IPO placement (if doing)
- ☐ Book build preparation
- ☐ Media and PR strategy
- ☐ Conditional approval from JSE

Budget: R1,500,000 - R3,000,000

(October 2027 - Q2 2028)

- ☐ Investor roadshow
- ☐ Book building (collecting orders)
- ☐ Price determination
- ☐ Share allocation
- ☐ Final JSE approval
- ☐ **LISTING DAY** 🛎️
- ☐ First trading day celebration
- ☐ SENS announcement
- ☐ Ongoing compliance begins
- ☐ First results announcement cycle

Budget: R2,000,000 - R4,000,000 (including IPO costs)

Total Estimated Costs

Category	Low Estimate	High Estimate
Auditors (2 years)	R300,000	R800,000
Designated Adviser	R800,000	R2,000,000
Legal Fees	R500,000	R1,500,000
Corporate Advisor/Broker	R500,000	R1,500,000
Company Conversion	R50,000	R150,000
Directors' Fees (setup)	R200,000	R500,000
Marketing/Roadshow	R200,000	R500,000
JSE Fees	R100,000	R300,000
Contingency	R350,000	R750,000
TOTAL	R3,000,000	R8,000,000

Your Action Checklist: Next 30 Days

Week 1 (January 6-12, 2026)

- ☐ Download all CIPC documents for Masaphokati Technologies (Pty) Ltd
- ☐ Review current MOI and shareholder structure
- ☐ List all current assets, liabilities, contracts
- ☐ Contact 3 audit firms for proposals
- ☐ Research Designated Advisers (review websites)

Week 2 (January 13-19, 2026)

- ☐ Meet with 2-3 audit firms
- ☐ Select and appoint auditors
- ☐ Begin gathering financial records
- ☐ Contact 2 Designated Advisers for intro calls
- ☐ Start researching potential board candidates

Week 3 (January 20-26, 2026)

- ☐ Hold introductory calls with DAs
- ☐ Get DA fee proposals
- ☐ Ensure bank account is business-only
- ☐ Implement/verify accounting system
- ☐ Create board of directors wishlist

Week 4 (January 27 - February 2, 2026)

- ☐ Auditors formally engaged (letter signed)
- ☐ Shortlist 2 DAs for detailed discussions
- ☐ First month's management accounts prepared

- ☐ Initial board candidate outreach
- ☐ Document key contracts and IP

Key Contacts to Save

Organization	Purpose	Contact
CIPC	Company registration, conversion	www.cipc.co.za / 086 100 2472
JSE Limited	Listing enquiries	+27 11 520 7000
IoDSA	Director search, governance	www.iodsa.co.za
SAICA	Find CA auditors	www.saica.co.za
SARS	Tax compliance	www.sars.gov.za

The Journey Begins Today

From Pty Ltd to JSE-Listed in 24 months. This is possible. This is the plan.

"God is the Power. I am the Vision. We are the Team."

THIS IS HOW WE TAKE OVER.